LAW & MOTION CALENDAR
TENTATIVE RULINGS

August 14, 2026

09:00 AM

CX-101

JUDGE WILLIAM D. CLASTER

Department CX101 Phone Number: (657) 622-5301

The Court will hear oral argument on all matters at the time noticed for the hearing. If you would prefer to submit the matter on your papers without oral argument, please advise the clerk by calling (657) 622-5301. The Court will not entertain a request for continuance nor filing of further documents once the ruling has been posted.

APPEARANCES: Appearances, whether remote or in person, must be in compliance with new Code of Civil Procedure §367.75, California Rules of Court, Rule 3.672, and Superior Court of California, County of Orange, Appearance Procedure and Information, Civil Unlimited and Complex, located at https://www.occourts.org/media-relations/covid/Civil_Unlimited_and_Complex_Appearance_Procedure_and_Information.pdf.

COURT REPORTERS: Official court reporters (i.e. court reporters employed by the Court) are **NOT** provided for any matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the Court's policy on the use of privately retained court reporters which can be found at:

- Civil Court Reporter Pooling; and
- For additional information, please see the court's website at Court Reporter Interpreter Services for additional information regarding the availability of court reporters.

- Civil Limited, Unlimited and Complex (Updated June 11, 2020)

#	CASE NAME	MATTER
1	**Danial vs. PNM Enterprises** **2024-01410966**	**Plaintiff's Motion for Approval of Class Settlement** Plaintiff's motion for preliminary approval of class action settlement is **CONTINUED to October 9, 2026 at 9:00 a.m. in Department CX101** to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before September 30, 2026. If a revised settlement agreement and/or class notice is submitted, a redline showing all changes, deletions, and additions must be submitted as well. *As to the Settlement:* 1. Please provide 60 days, rather than 45, for opt-outs, objections, and workweek disputes. 2. How large a sample of time and pay records did Defendant turn over (e.g., 10%)?

3. Did counsel interview anyone other than Plaintiff to value the non-record claims?

4. Counsel states that an expert was retained to value the case. Whom? Please provide a CV.

5. In response to the meal break claim, Defendant would argue "that the claim lacks merit and that the violations were primarily unrecorded and off-the-clock." (Yslas Decl. ¶ 13.) Why would Defendant contend the claim lacks merit? As to Defendant's contention that violations were primarily unrecorded, don't the time and pay records create a presumption that 38.3% of break-eligible shifts had meal break violations?

6. Defendant's policies required employees to keep their walkie-talkies on their person and turned on at all times, even during rest breaks. Is there any case law on whether such a requirement means rest breaks are on-duty breaks?

7. Does the UCL claim have independent value, or does it simply extend the limitations period?

8. The class and PAGA releases cover not only claims that were pled or could have been pled based on the facts alleged in the complaint and the LWDA letter, but also facts "ascertained in the course of the Action." Please delete this language. Almost anything could have been "ascertained in the course of the Action."

9. At final approval, please submit contemporaneously made billing records for attorney's fees and costs. The Court will not be inclined to award an amount of fees and costs greater than the amount stated in the notice.

10. At final approval, please submit billing records for administrative costs. The Court will not be inclined to award administrative costs in an amount greater than the amount stated in the notice.

11. Because he has submitted a declaration in support of his requested enhancement at preliminary approval, Plaintiff need not submit one at final approval.

<table>
<tr><td></td><td></td><td>12. At final approval, the administrator is to provide a high, low, and average for individual settlement payments, along with Plaintiff's individual payout.

As to the Notice:

1. At page 4, please delete the descriptions of the mediator as "experienced, neutral" and the settlement agreement as "lengthy." Because the notice is Court-ordered, these descriptions could suggest the Court's official endorsement.

2. Does notice need to be given in any languages other than English and Spanish?

3. If any changes are made to the settlement agreement, please make corresponding changes to the notice.

4. The font size in the actual notice may not be smaller than the font size in the proposed notice provided to the Court.</td></tr>
<tr><td>2</td><td>Brand vs. Pacific City Operations, LLC

2024-01415965</td><td>Plaintiff's Motion for Approval of Paga Settlement

The motion for approval of PAGA settlement is CONTINUED to October 9, 2026 at 9:00 a.m. in Department CX101 to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before September 30, 2026. If a revised settlement agreement and/or proposed notice is submitted, a redline version showing all changes, deletions, and additions must be submitted as well. In addition, Plaintiff must provide proof of service of any revised settlement agreement and supplemental papers and a copy of this ruling on the LWDA.

The Court's prior minute order expressed concern that Plaintiff appeared to have agreed to a de minimis PAGA settlement in exchange for an outsized individual settlement for claims arising from a single month of work. To that end, the Court asked for a summary of the never-pled individual claims arising from discrimination and wrongful termination. The Court also asked for specific details about the predicate Labor Code violations giving rise to the PAGA claim.

The supplemental briefing adequately addresses the rest break predicate, but the briefing is inadequate on other points. Rather than providing any details about the discrimination claim, counsel</td></tr>
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		vaguely declares that Plaintiff "alleged conduct by Defendant that he perceived as discriminatory and retaliatory, among other things." (ROA 91 ¶ 27.) In the context of the Court's concerns that Plaintiff has "sold out" the PAGA claim in exchange for a large individual settlement, this is insufficient. Please explain the factual basis for these claims, and please explain any defenses Defendant would intend to raise. Similarly, at points 2.c-2.f of the prior minute order, the Court asked for specific information about several of the predicate Labor Code violations. Rather than responding directly to these requests, counsel provides a vague, general summary of these claims. (ROA 91 ¶¶ 12-14.) Again, in the context of the Court's concerns about the PAGA settlement, this is insufficient. Why not simply provide the specific information requested? As things currently stand, the Court cannot discharge its duties under *Moniz*.
3	**Cayetano vs. Meiji Dining Corporation** **2024-01449313**	**Plaintiff's Motion for Approval of Class Settlement** Plaintiff's motion for preliminary approval of class action settlement is **CONTINUED to October 9, 2026 at 9:00 a.m. in Department CX101** to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before September 30, 2026. If a revised settlement agreement and/or class notice is submitted, a redline showing all changes, deletions and additions must be submitted as well. *As to the Settlement:* 13. Because a portion of the settlement payments are considered wages owed, the Court's strong preference is for uncashed checks to be redirected to the Controller's Unclaimed Property Fund. If the parties nevertheless wish to use a cy pres, the parties and their counsel must disclose any connections they have to the chosen cy pres. 14. Did counsel interview anyone other than Plaintiff to value the non-record claims? 15. The FAC pleads that Plaintiff is a current employee. Plaintiff's declaration in support of the motion mentions her start date, but not any date of separation. How does Plaintiff have standing to bring and settle a waiting time claim, or a PAGA claim predicated on waiting time violations? (See Lab. Code § 2699(c)(1) (PAGA plaintiff

must have personally suffered the violations complained of).)

16. There were apparently arbitration agreements covering some portion of the class. Was Plaintiff subject to such an agreement? Did Defendants turn over sample agreements? If so, does counsel believe the agreements were enforceable?

17. Counsel discounts the settlement value because of the possibility that Defendants would conduct a *Pick Up Stix* campaign. Was this in fact threatened by Defendants or their counsel, or did Plaintiff's counsel simply consider this as an always-possible risk?

18. With respect to claims for violations of Labor Code §§ 226(c) and 1198.5, what did the evidence show about how many employees had requested copies of their records but been denied?

19. At final approval, please submit contemporaneously made billing records for attorney's fees and costs. The Court will not be inclined to award an amount of fees and costs greater than the amount stated in the notice.

20. At final approval, please submit billing records for administrative costs. The Court will not be inclined to award administrative costs in an amount greater than the amount stated in the notice.

21. At final approval, Plaintiff is to provide a declaration addressing the enhancement factors set forth in *Golba v. Dick's Sporting Goods, Inc.* (2015) 238 Cal.App.4th 1251 and *Clark v. Am. Residential Servs. LLC* (2009) 175 Cal.App.4th 785, including the amount of time and effort spent on the litigation.

22. At final approval, the administrator is to provide a high, low and average for individual settlement payments, along with Plaintiff's individual payout.

As to the Notice:

5. Please omit the objection form (but include the opt-out and workweek dispute forms).

		6. At page 5, please delete the descriptions of the mediator as “experienced, neutral” and the settlement agreement as “lengthy.” Because the notice is Court-ordered, these descriptions could suggest the Court’s official endorsement. 7. Does notice need to be given in any languages other than English and Spanish? 8. If any changes are made to the settlement agreement, please make corresponding changes to the notice. 9. The font size in the actual notice may not be smaller than the font size in the proposed notice provided to the Court.
4	**Robles vs. Bally Americans Inc.** **2024-01417922**	**Plaintiff’s Motion to Enforce Settlement** **VACATED**
5	**Murillo vs. Merical, LLC** **2026-01549540**	**Defendant's Motion to Compel Arbitration** Defendant Merical, LLC’s motion to compel arbitration of Plaintiff Cesar Murillo’s claims is **GRANTED**. Pursuant to the 2016 arbitration agreement between the parties, Murillo is ordered to arbitrate his claims on an individual basis. His class claims are dismissed without prejudice. An arbitration review conference will take place on May 12, 2027 at 8:30 a.m. **EVIDENTIARY MATTERS** **I. Plaintiff’s Evidentiary Objections** **A. Declaration of Nicole Arvizu** Objection No. 1 is overruled. Objection No. 2 is sustained insofar as Arvizu testifies that Plaintiff “accepted” or “agreed to” the purported agreement and is otherwise overruled. **B. Declaration of Martin Zhao**

Both objections are overruled.

C. Declaration of Jeffrey Stallings

The objection is overruled.

II. Defendant's Evidentiary Objections

The objection to paragraph 11, lines 25-26 ("At that time, Merical was changing human resources personnel frequently") is sustained. All other objections are overruled.

III. Requests for Judicial Notice

All requests for judicial notice are granted.

GROUNDS FOR RULING

I. Existence of Agreement

A. 2023 Agreement

Defendant first seeks to enforce a purported 2023 arbitration agreement with Plaintiff. In support of its argument, it offers the declaration of Martin Zhao, a lead product manager for ADP, the third-party provider of Defendant's online human resources service, a software application called "WFN." He explains that ADP clients like Defendant can upload documents to WFN for employees to review and acknowledge. When a document is assigned to an employee, he or she must log into WFN using an employee-created user ID and password. The employee then selects the assigned document for viewing in the WFN portal. (Zhao Decl. ¶¶ 4-6.) Once the employee views the document, an acknowledgment checkbox becomes available "with the [client's] acknowledgement message." (*Id.* ¶ 6.) When the employee checks the box, a record is created that captures time of acknowledgement and associated user ID. (*Id.* ¶ 7.) The records here show that on June 28, 2023, a user logged in with Plaintiff's credentials acknowledged a policy document titled "G05_Merical California Dispute Resolution Agreement." (*Id.* Ex. A.) The document itself, the purported arbitration agreement, is Exhibit B

		to the Zhao Declaration. Plaintiff argues he acknowledged the 2023 agreement, but he never signed it. He further argues the 2023 agreement, by its own terms, requires a signature to be effective. (See Zhao Decl. Ex. B at p. 3 ("MY SIGNATURE BELOW CONFIRMS THE FACT THAT I HAVE READ, UNDERSTAND, AND VOLUNTARILY AGREE TO BE LEGALLY BOUND TO ALL OF THE ABOVE TERMS.").) As a result, the 2023 "agreement" was never formed. Relying on the Uniform Electronic Transactions Act (UETA), Civ. Code § 1633.1 et seq., Defendant argues Plaintiff signed the agreement by electronically acknowledging it. Defendant quotes Civ. Code § 1633.7(d) as providing, "If a law requires a signature, an electronic [acknowledgement] satisfies the law." (Mot. at p. 9 (alteration in original).) This is not what the statute provides. Rather, the statute provides, "If a law requires a signature, an electronic *signature* satisfies the law." (Civ. Code § 1633.7(d) (emphasis added).) The question is not whether an electronic acknowledgment satisfies the UETA. The question is whether Plaintiff's electronic acknowledgment of the 2023 agreement is the equivalent of an electronic signature. Defendant relies on Civ. Code § 1633.9(a), which provides, "An electronic record or electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable." Again, there appears to be no doubt that Plaintiff created the electronic record of his acknowledgment. The question is whether that counts as the signature required by the 2023 agreement's own terms. In this regard, Civ. Code § 1633.9(b) provides, "The effect of an electronic record or electronic signature attributed to a person under subdivision (a) is determined from the context and surrounding circumstances at the time of its creation, execution, or adoption." As noted above, Zhao testifies that once an employee views a document, an acknowledgment checkbox becomes available with the client's (here, Defendant's) acknowledgment message. It appears, however, that none of Defendant's supporting declarations includes a copy of this acknowledgment message. If the message had said, "By checking this box, I acknowledge and agree to the policy," the context would show that Plaintiff had agreed to the 2023 agreement by acknowledging it. On the other hand, if the message had said, "By checking this box, I acknowledge that I have viewed the policy," the context would show only that Plaintiff had viewed the policy.

With Plaintiff focusing specifically on the difference between acknowledgment and agreement, the lack of the acknowledgement message in the record is a serious problem for Defendant.

Defendant, as the party moving to compel arbitration, bears the burden of showing by a preponderance of the evidence that an agreement to arbitrate exists. With respect to the 2023 agreement, it has not met that burden.

B. <u>2016 Agreement</u>

Defendant next seeks to enforce a purported 2016 arbitration agreement with Plaintiff. (Arvizu Decl. Ex. E (hereafter "2016 Agreement").) This agreement, unlike the purported 2023 agreement, bears a physical signature. Plaintiff testifies that he has no memory of signing the 2016 agreement, but he admits that the signature "appears to be mine." (Murillo Decl. ¶ 12.) The Court therefore finds Defendant has proven the existence of the 2016 Agreement.

II. <u>Terms of 2016 Agreement and Applicable Law</u>

Defendant's Chief Human Resources and Compliance Officer, Nicole Arvizu, testifies that Defendant is a health supplement manufacturer. It sells products to retail businesses and multi-level marketing customers nationwide. It has manufacturing facilities in California and Utah. It purchases raw materials for its products from vendors nationwide. (Arvizu Decl. ¶ 3.) Based on this showing, which is uncontested by Plaintiff, the Court concludes the FAA applies to the 2016 Agreement.

The 2016 agreement requires arbitration of "Any claims or controversies arising out of Employee's employment," including claims for "violation of federal wage and hour laws or the California Labor Code or Wage Orders." (2016 Agreement at p. 1.) It contains a severability clause. (*Id.* at p. 2.) The agreement is silent as to the availability of classwide arbitration.

II. <u>Waiver of 2016 Agreement</u>

Plaintiff first argues Defendant has waived the right to enforce the 2016 Agreement. "[I]n determining whether a party to an arbitration agreement has lost the right to arbitrate by litigating the dispute, a court should treat the arbitration agreement as it would any other contract, without applying any special rules based on a policy favoring arbitration." (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 583.) "To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (*Id.*, at p. 584.)

Plaintiff was employed by Defendant from October 2016 to April 2025. (Murillo Decl. ¶ 2.) As such, he is a member of the proposed class in a related action, *Contreras v. Merical, LLC*, OCSC No. 21-01214079. (Pl.'s RJN, Ex. A, at ¶ 13.) Defendant moved to compel individual arbitration of the plaintiff's claims in *Contreras* based on the same 2016 Agreement at issue here. The plaintiff opposed that motion. Before the motion was decided, the parties reached a classwide settlement, and Defendant withdrew its motion. (Pl.'s RJN, Exs. C-E.) On April 9, 2026, Judge McCormick granted preliminary approval to the *Contreras* settlement. (Pl.'s RJN, Ex. B.) The final approval hearing is scheduled for August 13, 2026, one day before the hearing on this motion.

Plaintiff argues that by moving to compel individual arbitration under the 2016 Agreement in *Contreras*, then abandoning that motion in favor of settling *Contreras* on a classwide basis, Defendant has waived the ability to enforce the 2016 Agreement as to all members of the *Contreras* class. And since Plaintiff is a member of the *Contreras* class, Defendant cannot enforce the 2016 Agreement against him.

This argument ignores the language of the *Contreras* settlement agreement. It provides: "[N]othing in this Agreement or in the Preliminary Approval or Order Granting Final Approval shall be deemed a waiver of Defendant's right to enforce the arbitration agreements of Class Members or Aggrieved Employees in the future." (Pl.'s RJN, Ex. B, at Ex. 1 thereto, § II.F.) As between Defendant and members of the *Contreras* class, the parties in *Contreras* agreed Defendant's conduct was *not* a waiver of the right to compel arbitration in the future. Plaintiff, a member of the *Contreras* class, is bound by that agreement. Moreover, an express reservation of the right to compel arbitration in the future is not clear and convincing evidence of intentional waiver. Accordingly, Defendant has not waived the ability to enforce the 2016 Agreement.

III. <u>Unconscionability of 2016 Agreement</u>

Plaintiff contends the 2016 Agreement is unconscionable, and therefore unenforceable. "'The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.' [Citation.] But they need not be present in the same degree.

'Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.'" (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.)

A. <u>Procedural Unconscionability</u>

"A procedural unconscionability analysis 'begins with an inquiry into whether the contract is one of adhesion.' [Citation.] An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.' [Citations.] Arbitration contracts imposed as a condition of employment are typically adhesive . . . ." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.)

The 2016 Agreement is adhesive. It was offered on a preprinted form with signature blanks. Furthermore, Defendant concedes Plaintiff's signature was required as a condition of employment. (Reply at p. 7 ("[N]either the employer's requirement to sign, nor Plaintiff's alleged failure to read the 2016 Arbitration Agreement, is an obstacle to enforcement.").) As a result, the 2016 Agreement is procedurally unconscionable.

Plaintiff contends the unconscionability is heightened by the circumstances of its execution. He testifies he was handed a stack of documents, that a human resources employee told him where to sign them, and that he was not given enough time to read the documents before signing them. If he had wanted to read the documents, he would have needed to take them home, and no one offered him the chance to take them home. Nor did anyone explain the documents to him. (Murillo Decl. ¶¶ 5-11.)

The Court disagrees that these facts show heightened unconscionability. Plaintiff testifies that he would have needed to take the documents home to have time to review them, but he never testifies that he asked for the chance to take them home and was denied. In contrast, Defendant's former President, Jeffrey Stallings, testifies that it was standard company practice at the time to give employees the time necessary to review documents before signing. (Stallings Decl. ¶ 3.)

In short, the Court finds the 2016 Agreement procedurally unconscionable, but no more so than in the usual employment case.

B. <u>Substantive Unconscionability</u>

Plaintiff contends the 2016 Agreement is substantively unconscionable in four ways.

First, it contains a prevailing party fee clause: "With the exception of the arbitration fees and costs, each party to the arbitration shall pay his/her/its own costs, attorneys' fees and witness fees, if any, however, the prevailing party shall be entitled to an award of his/her/its attorneys' fees and costs (excluding arbitration fees and costs)." (2016 Agreement at p. 2.) This is contrary to the fee-shifting provisions of Labor Code §§ 218.5 and 1194. It is therefore unconscionable. Defendant's willingness to pay its own fees (see Arvizu Decl. ¶ 14) is irrelevant. Unconscionability is determined at the time a contract is made. (Civ. Code § 1670.5(a).)

Second, it provides: "Should either party pursue any other legal or administrative action against the other regarding any matter subject to this arbitration clause, the other party shall be entitled to recover its costs, including reasonable attorneys' fees, incurred in defending such legal or administrative action." (2016 Agreement at p. 2.) As Plaintiff points out, "an employee who mistakes the forum pays his employer's fees for the mistake." (Opp. at p. 10.) Moreover, it contravenes the fee-shifting provisions of the Labor Code. This provision also is unconscionable.

Third, Plaintiff argues the 2016 Agreement forecloses review of legal error. The 2016 Agreement provides: "The [arbitrator's] decision is final and binding, and there is no direct appeal from the decision on the grounds of error in the application of law." (2016 Agreement at p. 2.) But as Defendant points out in reply, the 2016 Agreement also provides: "The decision may be judicially enforced (confirmed, corrected or vacated) pursuant to California Code of Civil Procedure Section 1285 et seq." (*Ibid.*) This allows for judicial review of the arbitrator's award under the California Arbitration Act. Plaintiff cites no authority holding that arbitration agreements must provide for direct appeals of an arbitrator's award, nor that an arbitrator's award must be reviewable for mere error in the application of law. This provision

		is not unconscionable. Fourth, Plaintiff argues the 2016 Agreement is unconscionably non-mutual. Specifically, he complains that the 2016 Agreement allows Defendant to seek equitable relief from a court (1) under CCP §§ 527.6 and 527.8 and (2) under the Uniform Trade Secrets Act (2016 Agreement at p. 1), while requiring employees to arbitrate the claims they are most likely to bring. This argument is flawed for two reasons. First, Plaintiff omits the beginning of the carve-out, which excludes workers' compensation and unemployment claims from arbitration. These claims are most likely to be brought by employees, not employers. Second, employees are allowed to seek restraining orders just as employers are. (See CCP § 527.6(a)(1) (allowing "a person who has suffered harassment" to seek a restraining order).) Plaintiff makes no showing that employers are more likely to seek such restraining orders than employees. Plaintiff is correct about the non-mutuality of interim relief on trade secret claims, but interim relief on such claims is routinely exempted from arbitration without creating substantive unconscionability. **C. <u>Severability</u>** As noted above, the 2016 Agreement contains a severability clause. Exercising its discretion, the Court concludes severing the two unconscionable fee provisions is proper. The central purpose of the 2016 Agreement is to require arbitration of nearly all disputes between the parties. The fee provisions, while unconscionable, are ancillary to that purpose. Severing them removes any unconscionability from the 2016 Agreement, and the remainder of the 2016 Agreement can be enforced as written. **IV. <u>Class Claims and Further Proceedings</u>** Again, the 2016 Agreement is silent on classwide arbitration. However, because the FAA applies, "a party may not be compelled . . . to submit to class arbitration unless there is a contractual basis for concluding that the party *agreed* to do so." (*Stolt-Nielsen S.A. v. AnimalFeeds International Corp.* (2010) 559 U.S. 662, 684.) The 2016 Agreement's silence means classwide arbitration is unavailable. Plaintiff's class claims are therefore dismissed without prejudice, and he is ordered to arbitrate his claims on an individual basis.
6	**Nubia vs. Caremeridian, LLC.** **2025-01533125**	**Defendant's Motion to Compel Arbitration** The Motion to Compel Arbitration brought by Defendants CareMeridian, LLC and National Mentor Holdings, Inc. is

GRANTED pursuant to 9 U.S.C. § 2 and CCP § 1281.2. Plaintiff is ordered to arbitrate her claims (including the individual portion of her PAGA claim) on an individual basis. Her class claims are dismissed without prejudice pursuant to the class action waiver in the Arbitration Agreement. This action, including the non-individual portion of her PAGA claim, shall be stayed pending completion of arbitration. (See CCP § 1281.4; 9 U.S.C. § 3; and *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1123-1124.) An arbitration review conference will be held on May 12, 2027 at 8:30 a.m.

1. **OVERVIEW**

Initially, it is undisputed that the Arbitration Agreement is governed by the FAA. (¶ 8 of Perez Declaration and Exhibit 2 thereto, at ¶ 1; See also *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.) Under both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA") the existence of a valid arbitration agreement is required before arbitration can be compelled. (See 9 U.S.C. §2 and CCP §1281.2.)

The moving party bears the burden of proving the existence of an applicable agreement and the party opposing arbitration bears the burden of proving any defense. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972 (CAA); See also *Ashbey v. Archstone Property Management, Inc.* (9th Cir. 2015) 785 F.3d 1320, 1323 and *Installit, Inc. v. Carpenters 46 Northern California Counties Conference Board* (N.D. Cal. 2016) 214 F.Supp.3d 855, 859 (FAA).

Regardless of whether the FAA applies, "we apply general California contract law to determine whether the parties formed a valid agreement to arbitrate their dispute." (*Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 59-60.)

Here, there is no dispute that Plaintiff executed the Arbitration Agreement attached as Exhibit 2 to the Declaration of Sheila Perez. (See ¶ 8 of Perez Declaration; See also ¶ 9 of Nubia Declaration.) Similarly, there is no dispute the Agreement applies to "any dispute arising out of or related to Employee's…application or selection for employment, employment, and/or termination" and is enforceable by National Mentor Holdings, LLC and "[a]ll applicable corporate entities who constitute direct and indirect subsidiaries of National Mentor Holdings, Inc." (¶ 8 of Perez Declaration and Exhibit 2 thereto.) Per the Declaration of Sheila Perez, "CareMeridian is an indirect subsidiary of National Mentor Holdings, LLC." (¶ 4 of Perez Declaration.)

Plaintiff does not challenge the application of the above agreement to her claims or Defendants' ability to enforce the Agreement, generally. Instead, Plaintiff challenges enforcement of the Agreement on two bases: (1) The Agreement was procured via fraud; and (2) The Agreement is unconscionable. As discussed below, each of these arguments fails.

2. <u>FRAUD</u>

Plaintiff's contention that her signature on the Arbitration Agreement was procured by fraud requires her to establish that she was misled into signing the agreement without having the opportunity to discover its actual terms. While "[f]raud is one of the grounds on which a contract can be rescinded," Plaintiff has not established her consent was acquired by fraud. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 973.)

Per Plaintiff's declaration, she was approached by "Regional Director Elizabeth Talavera" and the following occurred: "I informed Ms. Talavera that I did not want to sign the arbitration agreement, as I wanted to preserve my ability to go to court should anything happen during my employment. In response to my concerns, Ms. Talavera said, 'You can still sue. It just won't go through a third party. It will be one on one.' Relying on that representation, I believed signing the arbitration agreement would not prevent me from going to court. Thus, I immediately signed the agreement." (¶¶ 8-9 of Nubia Declaration.)

The above statements are contradicted by Ms. Talavera, who declares: "I never told Ms. Nubia that '[y]ou can still sue. It just won't go through a third party. It will be one-on-one,' nor did I ever tell her anything similar." (¶ 5 of Talavera Declaration.) Moreover, the evidence establishes that Talavera was not present at the actual signing of the Agreement. Rather, only Human Resources Operations Manager Sheila Perez and her colleague, Pamela Hill, were present for the signing. (Perez Decl. ¶ 8 [misnumbered as a second ¶ 2]). Plaintiff does not state when the alleged conversation with Talavera took place or what was said by Perez or Hill when the Agreement was signed on January 13, 2025. According to Plaintiff, the alleged conversation with Talavera took place "several months" after she opted out of the Arbitration Agreement in August 2024. (Nubia Decl. ¶ 8)

Regardless, Plaintiff's declaration does not establish fraud: "A necessary element of the defense of fraud in the execution is *reasonable reliance*. That is, when a plaintiff asserts that the

		defendant misrepresented the nature of the contract, the contract is not considered void due to the fraud if the plaintiff had a reasonable opportunity to discover the true terms of the contract. The contract is only considered void when the plaintiff's failure to discover the true nature of the document was without negligence on the plaintiff's part." (*Brown v. Wells Fargo Bank, N.A.* (2008) 168 Cal.App.4th 938, 958-959, citing *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 419-420.) "This issue usually arises when the plaintiff failed to read the terms of the contract, relying instead on the defendant's representation as to the effect of the contract. Generally, it is *not reasonable* to fail to read a contract; this is true even if the plaintiff relied on the defendant's assertion that it was not necessary to read the contract." (*Brown v. Wells Fargo Bank, N.A.* (2008) 168 Cal.App.4th 938, 959.) Stated similarly, "our law is clear that misrepresentation does not render the contract *void* unless the misled party, before making the agreement, lacked a reasonable opportunity to learn its terms." (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 421.) "It follows that one party's *unreasonable* reliance on the other's misrepresentations, resulting in a failure to read a written agreement before signing it, is an insufficient basis, under the doctrine of fraud in the execution, for permitting that party to avoid an arbitration agreement contained in the contract." (*Id.* at p. 423.) Here, while Plaintiff declares Talavera misrepresented the terms of the Arbitration Agreement, she offers no testimony which indicates she was prevented from reading the agreement or otherwise discovering its true terms. Indeed, when the same agreement was presented to Plaintiff in August 2024, she refused to agree to it, writing "I am opting out of arbitration." (Perez Decl. Exh. 1) By opting out, Plaintiff plainly understood what the Agreement was about and its limitations and requirements. In her words, "I wanted to preserve my right to have any future legal disputes decided in court before a judge or jury." (Nubia Decl. ¶ 6) Of course, as noted by Defendants, the Agreement clearly provides, in bolded print on the first page: "All disputes covered by this Agreement will be decided by a single arbitrator through final and binding arbitration and not by way of court or jury trial." (¶ 8 of Perez Declaration and Exhibit 2 thereto, at ¶ 1.) Consequently, any reliance by Plaintiff on the alleged statement of Talavera was not reasonable and this is an insufficient basis upon which to void the Arbitration Agreement.

3. UNCONSCIONABILITY

Plaintiff contends the Arbitration Agreement is unconscionable, and therefore unenforceable. "'The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.' [Citation.] But they need not be present in the same degree.

'Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.'" (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.)

A. Procedural Unconscionability

"Both procedural and substantive unconscionability must be present for a court to refuse to enforce a contract provision under the doctrine of unconscionability." (*Parada v. Superior Court* (2009) 176 Cal.App.4th 1554, 1570.) "The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, 'which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.'" (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071.)

Plaintiff declares the Arbitration Agreement was presented to her on a "take-it-or-leave it basis," that she "was not given any opportunity to negotiate or modify its terms" and that she understood she "had to sign it in order to continue my employment with CareMeridian." (Nubia Decl. ¶ 12)

The above sufficiently establishes a *modest* degree of procedural unconscionability. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.)

Plaintiff also asserts procedural unconscionability exists inasmuch as Defendant failed to attach the applicable arbitration rules to the Agreement. However, the California Supreme Court in *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, found that a failure to attach applicable arbitration rules does not increase procedural unconscionability. (*Id.* at p. 1246; See also *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248-250.)

B. <u>Substantive Unconscionability</u>

"A provision is substantively unconscionable if it involves contract terms that are so one-sided as to shock the conscience, or that impose harsh or oppressive terms." (*Parada v. Superior Court* (2009) 176 Cal.App.4th 1554, 1573 [internal quotations omitted.]) To establish substantive unconscionability, Plaintiff asserts the carve-out for injunctive relief is inappropriately one-sided, as it is likely to favor an employer. Significantly, the carve-out is limited to a request for "temporary or preliminary injunctive relief in connection with an arbitrable controversy in accordance with applicable law." Such relief is contemplated in arbitration pursuant to CCP § 1281.8(b).

Plaintiff's argument was rejected by the California Supreme Court in *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237. As explained in *Baltazar*: "[T]he provisional relief clause does no more than recite the procedural protections already secured by section 1281.8(b), which expressly permits parties to an arbitration to seek preliminary injunctive relief during the pendency of the arbitration." (*Id. at* p. 1247.) "[A]n arbitration agreement is not substantively unconscionable simply because it confirms the parties' ability to invoke undisputed statutory rights. And the clause confirming the availability of provisional relief under section 1281.8(b) confers no advantage on the drafting party that would otherwise be unavailable in the litigation context." (*Id.* at pp. 1247-1248.) "Thus, regardless of whether [employer] is, practically speaking, more likely to seek provisional remedies than its employees, simply reciting the parties' rights under section 1281.8 does not place [plaintiff] at an unfair disadvantage." (*Ibid.*)

As a second basis for her substantive unconscionability argument, Plaintiff cites the discovery limitations articulated in the Arbitration Agreement. As noted by Plaintiff, "parties to an arbitration clause can agree 'to something less than the full panoply of discovery provided' in the Code of Civil Procedure," however, "adequate discovery is indispensable for the vindication of FEHA claims." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 504.)

Citing *Ontiveros v. DHL Express (USA), Inc.* (2008) 164 Cal.App.4th 494 (*Ontiveros)* and *Fitz v. NCR Corp.* (2004) 118 Cal.App.4th 702 (*Fitz*), Plaintiff asserts the discovery restrictions herein are substantively unconscionable. However, an important distinction exists between the above cases and the instant action. *Ontiveros* and *Fitz* both expressly limited the Arbitrator's ability to order additional discovery. In *Ontiveros,* for example, the Arbitrator could order additional discovery only "upon a showing of substantial need." (*Ontiveros, supra,* 164 Cal.App.4th at p. 511.) In *Fitz,* the Arbitrator could order additional discovery only where a "compelling need" was found. (*Fitz, supra,* 118 Cal.App.4th at p. 709.)

No similar limitations are placed on the Arbitrator in this case. Here, the agreement, in addition to certain minimum discovery guarantees, provides: "Additional discovery may be conducted by mutual stipulation, and the Arbitrator will have exclusive authority to entertain requests for additional discovery, and to grant or deny such requests based on the circumstances of a particular case."

As recently explained by the California Supreme Court in *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478: "Allowing the arbitrator to deviate from agreed-upon default discovery limits ensures that neither party will be unfairly hampered in pursuing a statutory claim based on circumstances that arise post formation. We note that giving the arbitrator authority to expand discovery based on *Armendariz's* requirement is one way the adequacy concern can be addressed." (*Id.* at p. 506.)

Additionally worth noting: "[We] infer that when parties agree to arbitrate statutory claims, they also implicitly agree, absent express language to the contrary, to such procedures as are necessary to vindicate that claim." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 106.) Further, "we assume the arbitrator will act reasonably and in conformity with the law." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 506.)

"Where a contract is susceptible to two interpretations, one which renders it valid and the other which renders it void, a court should select the interpretation that makes the contract valid." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 507.) Where a discovery provision is "construed to allow the arbitrator to order additional discovery as needed to allow a full and fair exploration of the issues in dispute," the discovery provision is valid and any unconscionability is eliminated. (*Ibid.*)

Here, while discovery limitations are stated within the Arbitration Agreement, the Agreement expressly provides that an Arbitrator may order additional discovery, "based on the circumstances of a particular case." (¶ 8 of Perez Declaration and Exhibit 2 thereto,

		at ¶ 7.) In contrast to *Ontiveros* and *Fitz*, there are no express limitations on the Arbitrator's ability to order additional discovery and, in the absence of the same, the Court can interpret the provision as sufficiently protecting Plaintiff's right to discovery. Accordingly, there is no substantive unconscionability.